

Interquartile range Measure of statistical dispersion equal to the difference between the first and fourth quartiles of the data.

Joint hypothesis problem Means that market efficiency can never be fully determined on its own and any model that rejects market efficiency might itself be wrong.

Kurtosis Describes the flatness of a distribution and the fatness of the tails; higher kurtosis implies a greater probability of extreme returns.

Leptokurtosis Peaked mean with fat tails, indicating a high likelihood of extreme events.

Leverage To increase the potential return and volatility of an investment; often done through borrowing.

Linear regression An approach to model the linear relationship between a dependent variable and one or more explanatory variables; see also *Regression*.

Lognormal distribution Continuous probability distribution of a random variable whose logarithm is normally distributed; often used for modeling financial time-series data where the variable is the multiplicative product of returns over time.

Longitudinal momentum See *Absolute momentum*.

Look-back period Number of prior months used for evaluating comparative past performance and determining momentum signals. See *Formation period*.

Loss aversion Tendency to prefer avoiding losses rather than achieving gains; see also *Risk aversion*.

Market efficiency The degree to which stock prices reflect all publically available, relevant information; see also *Efficient market hypothesis (EMH)*.